

THE COLOMBO FORT LAND & BUILDING PLC

Company No. PQ 172

INTERIM FINANCIAL STATEMENTS

***For The Nine Months Ended
31st December 2017***

THE COLOMBO FORT LAND & BUILDING PLC

Company No. PQ 172

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THE COLOMBO FORT LAND & BUILDING PLC
Company No. PQ 172

STATEMENT OF COMPREHENSIVE INCOME - GROUP								
	(Unaudited) Quarter ended 31.12.2017 Rs.'000	(Unaudited) Quarter ended 31.12.2016 Rs.'000		Variance %	(Unaudited) Nine Months ended 31.12.2017 Rs.'000	(Unaudited) Nine Months ended 31.12.2016 Rs.'000		Variance %
Revenue	21,330,661	10,673,548	+	100	31,923,215	30,493,070	+	5
Cost of Sales	(16,836,031)	(8,392,171)	-	101	(25,320,026)	(24,630,692)	-	3
Gross Profit	4,494,630	2,281,377	+	97	6,603,189	5,862,378	+	13
Other Income / (Expenses)	369,786	(34,074)	+	1,185	555,354	527,004	+	5
Distribution Costs	(1,419,749)	(958,388)	-	48	(2,056,365)	(2,421,913)	+	15
Administration Expenses	(2,232,743)	(852,488)	-	162	(3,339,875)	(2,927,586)	-	14
Financing Cost	(1,367,387)	(504,874)	-	171	(1,985,528)	(1,499,649)	-	32
Share of Results of associates	(2,253)	(1,304)	-	73	4,555	6,039	-	25
Profit before Tax Expense	(157,715)	(69,751)	-	126	(218,670)	(453,726)	+	52
Tax Expense	(162,793)	(78,278)	-	108	(192,764)	(220,958)	+	13
Profit / (Loss) for the period	(320,508)	(148,029)	-	117	(411,434)	(674,684)	+	39
Net (loss)/gain on available-for-sale financial assets	(24,627)	(70,392)	+	65	(63,831)	(82,182)	+	22
Actuarial Gain /Losses on Defined Plan	(4,456)	(12,592)	+	65	(4,473)	(36,081)	+	88
Share of Results of Associate	(25,630)	(39,720)	+	35	4,035	9,006	-	55
Tax on Other Comprehensive Income	-	-			-	-		
Total Comprehensive Income For The Period	(375,221)	(270,733)	-	39	(475,703)	(783,941)	+	39
Profit Attributable to								
Equity Holders of the Parent	(358,430)	(137,854)	-	160	(484,844)	(586,980)	+	17
Non -Controlling Interest	37,921	(10,175)	+	473	73,410	(87,705)	+	184
	(320,508)	(148,029)	-	117	(411,434)	(674,684)	+	39
Total Comprehensive Income Attributable to								
Equity Holders of the Parent	(391,430)	(194,758)	-	101	(551,701)	(578,291)	+	5
Non -Controlling Interest	16,209	(75,975)	+	121	75,997	(205,650)	+	137
	(375,221)	(270,733)	-	39	(475,703)	(783,941)	+	39
Earnings per Share (Rs.)	(1.99)	(0.77)	-	158	(2.69)	(3.26)	+	17

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STATEMENT OF COMPREHENSIVE INCOME - COMPANY								
	(Unaudited) Quarter ended 31.12.2017 Rs.'000	(Unaudited) Quarter ended 31.12.2016 Rs.'000		Variance %	(Unaudited) Nine Months ended 31.12.2017 Rs.'000	(Unaudited) Nine Months ended 31.12.2016 Rs.'000	Variance %	
Revenue	30,797	7,580	+	306	55,894	22,181	+	152
Cost of Sales	-	-		-	-	-		-
Gross Profit	30,797	7,580	+	306	55,894	22,181	+	152
Other Income	41,384	4,331	+	856	119,769	122,430	-	2
Distribution Costs	-	-		-	-	-		-
Administration Expenses	(28,253)	(12,023)	-	135	(54,306)	(36,386)	-	49
Other Expenses	(308)	(339)	+	9	(308)	(919)	+	66
Net Finance Cost	(3,182)	(5,754)	+	45	(15,964)	(19,213)	+	17
Profit before Tax Expense	40,438	(6,205)	+	752	105,085	88,093	+	19
Tax Expense	(26,989)	(1,815)	-	1,387	(32,134)	(5,468)	-	488
Profit / (Loss) for the period	13,449	(8,020)	+	268	72,951	82,625	-	12
Other Comprehensive Income								
Net (loss)/gain on available-for-sale financial assets	(52)	(120)	+	57	1	210	-	100
Total Comprehensive Income For The Period	13,397	(8,140)	+	265	72,952	82,835	-	12
Earnings per Share (Rs.)	0.07	(0.04)	+	275	0.41	0.46	-	11

THE COLOMBO FORT LAND & BUILDING PLC

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STATEMENT OF FINANCIAL POSITION						
Group (Audited) As at 31.03.2017 Rs.'000	Company (Audited) As at 31.03.2017 Rs.'000		Group (Unaudited) As at 31.12.2017 Rs.'000	Group (Unaudited) As at 31.12.2016 Rs.'000	Company (Unaudited) As at 31.12.2017 Rs.'000	Company (Unaudited) As at 31.12.2016 Rs.'000
ASSETS						
Non - Current Assets						
19,440,906	2,451	Property, Plant & Equipment	19,323,263	19,503,693	1,965	2,718
477,706	-	Leasehold Properties	447,708	515,420	-	-
424,535	719,098	Investment Properties	826,714	187,070	804,343	719,416
1,521,779	-	Biological Assets	1,529,022	1,201,904	-	-
984,008	-	Intangible Assets	1,044,356	1,021,735	-	-
-	1,129,373	Investments in Subsidiaries	-	-	1,126,087	1,133,377
442,787	89,434	Investments in equity accounted investees	447,132	465,434	91,526	89,434
614,981	1,662	Other Investments	535,135	556,988	1,663	1,651
107,381	-	Employee Benefits	-	-	-	-
188,285	-	Deferred Tax Assets	207,037	147,949	-	-
24,202,368	1,942,018		24,360,367	23,600,193	2,025,584	1,946,596
Current Assets						
6,897,538	-	Inventories	7,343,734	6,828,298	-	-
7,929,745	51,412	Trade and Other Receivables	8,395,310	7,588,725	18,492	5,157
		Fair Value gain on growing produce of				
19,986	-	bearer Biological Assets	19,986	-	-	-
106,366	180,586	Amounts Due from Related Parties	475,111	295,946	232,517	127,813
-	355,500	Loans Given to Related Parties	-	-	382,500	277,500
142,771	-	Income Tax Recoverable	171,070	140,069	-	-
759,601	-	Other Investments	895,152	842,992	-	-
1,637,426	119,370	Bank & Cash Balances	1,625,147	1,677,055	129,234	115,296
17,493,433	706,868		18,925,510	17,373,085	762,743	525,766
207,956	-	Assets Held for Sale	-	-	-	-
41,903,757	2,648,886	Total Assets	43,285,877	40,973,278	2,788,327	2,472,362
EQUITY AND LIABILITIES						
Equity Attributable to Equity Holders of the Parent						
327,000	327,000	Stated Capital	327,000	327,000	327,000	327,000
20,058	10,000	Capital Reserves	20,058	20,058	10,000	10,000
6,539,747	1,175,934	Revenue Reserves	5,736,276	6,631,307	1,221,885	1,136,096
6,886,805	1,512,934		6,083,334	6,978,365	1,558,885	1,473,096
4,003,925	-	Non- Controlling interest	3,927,678	3,847,405	-	-
10,890,730	1,512,934	Total Equity	10,011,012	10,825,769	1,558,885	1,473,096
Non - Current Liabilities						
6,303,602	121,000	Loans and Borrowings	8,673,508	6,786,869	188,500	85,000
577,995	-	Deferred Income - Capital Grants	564,333	582,182	-	-
513,932	26,605	Deferred Tax Liabilities	620,068	683,550	50,560	26,626
2,443,983	-	Employee Benefits	2,546,927	2,656,164	-	-
30,162	-	Rent Received in Advance	22,323	22,880	-	-
9,869,674	147,605		12,427,159	10,731,645	239,060	111,626
Current Liabilities						
7,053,712	48,204	Trade & Other Payables	7,408,851	7,852,092	72,450	100,111
389,133	725,610	Amounts Due to Related Parties	308,440	211,286	682,506	558,395
10,187,199	61,500	Loans and Borrowings	9,813,752	8,046,956	69,000	97,500
-	187	Rent Received in Advance	18,823	20,382	18,279	300
328,794	41,699	Income Tax Payables	288,926	257,836	48,726	40,205
3,184,515	111,147	Bank Overdraft	3,008,914	3,027,312	99,421	91,129
21,143,353	988,347		20,847,706	19,415,864	990,382	887,640
31,013,027	1,135,952	Total Liabilities	33,274,865	30,147,509	1,229,442	999,266
41,903,757	2,648,886	Total Equity and Liabilities	43,285,877	40,973,278	2,788,327	2,472,362
39.14	8.41	Net Asset per Share (Rs.)	33.80	38.77	8.66	8.23

The Board of Directors are responsible for the preparation and presentation of these financial statements.
For and on behalf of the Board.

(Sgd.)
S. D. R. Arudpragasam
Deputy Chairman

(Sgd.)
Anushman Rajaratnam
Group Managing Director

Date : 14th February, 2018

THE COLOMBO FORT LAND & BUILDING PLC

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STATEMENT OF CHANGES IN EQUITY									
<i>Group</i>									
	Equity Attributable to Equity Holders of the Parent								
	Stated capital	Prop.Dev. Reserve	Capital Reserve fund	Available for Sale Reserve	General Reserve	Accumulated Profit/(Loss)	Total	Non-controlling Interest	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01.04.2017	327,000	15,190	4,868	1,036,244	84,453	5,419,049	6,886,805	4,003,925	10,890,730
Profit for the Period	-	-	-	-	-	(484,844)	(484,844)	73,410	(411,434)
Other Comprehensive Income	-	-	-	(53,381)	-	(13,475)	(66,856)	2,587	(64,269)
Subsidiary Dividend to Minority Shareholders	-	-	-	-	-	-	-	(82,982)	(82,982)
Effect of Acquisitions, Disposal and changes in Percentage Holding in subsidiaries	-	-	-	-	-	(224,770)	(224,770)	(80,361)	(305,132)
Right Issue of Shares by a Subsidiary								11,099	11,099
Dividend Payable	-	-	-	-	-	(27,000)	(27,000)	-	(27,000)
Balance as at 31.12.2017	327,000	15,190	4,868	982,863	84,453	4,668,959	6,083,334	3,927,678	10,011,012
Balance as at 01.04.2016	327,000	15,190	4,868	889,736	84,453	6,289,409	7,610,656	4,168,728	11,779,384
Profit for the Period	-	-	-	-	-	(586,980)	(586,980)	(87,705)	(674,684)
Other Comprehensive Income	-	-	-	(21,297)	-	29,985	8,688	(117,945)	(109,257)
Subsidiary Dividend to Minority Shareholders	-	-	-	-	-	-	-	(115,673)	(115,673)
Dividend Payable	-	-	-	-	-	(54,000)	(54,000)	-	(54,000)
Balance as at 31.12.2016	327,000	15,190	4,868	868,439	84,453	5,678,415	6,978,365	3,847,405	10,825,769
<i>Company</i>									
	Stated capital	Prop.Dev. Reserve	General Reserve	Available for Sale Reserve	Accumulated Profit/(Loss)	Total			
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000			
Balance as at 01.04.2017	327,000	10,000	501	1,342	1,174,090	1,512,933			
Profit for the period	-	-	-	-	72,951	72,951			
Other Comprehensive Income	-	-	-	1	-	1			
Dividend payable	-	-	-	-	(27,000)	(27,000)			
Balance as at 31.12.2017	327,000	10,000	501	1,343	1,220,041	1,558,885			
Balance as at 01.04.2016	327,000	10,000	501	1,122	1,105,638	1,444,261			
Profit for the Period	-	-	-	-	82,625	82,625			
Other Comprehensive Income	-	-	-	210	-	210			
Dividend payable	-	-	-	-	(54,000)	(54,000)			
Balance as at 31.12.2016	327,000	10,000	501	1,332	1,134,263	1,473,096			

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STATEMENT OF CASH FLOWS				
	Group		Company	
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
<i>For the Period ended 31th December</i>	2017	2016	2017	2016
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cash Flows from Operating Activities				
Profit before Tax Expense	(218,670)	(453,726)	105,085	88,093
Adjustments for :				
Depreciation	858,684	795,380	2,659	2,462
(Profit) / Loss on Disposal of Property Plant & Equipment	(187,587)	(59,496)	-	-
(Profit) / Loss on Disposal of Long/Short-Term Investments	(91,092)	153,087	(28,060)	56,995
Share of Results of Associate	(4,555)	(6,039)	-	-
Rental Income	-	(24,993)	(18,278)	(337)
Dividend Income	(10,462)	(70,339)	(70,573)	(102,586)
Interest Expenses	2,195,120	1,672,155	60,078	50,263
Interest Income	(178,677)	(196,724)	(44,114)	(31,050)
Deferred Income	(32,507)	(56,531)	-	-
Provision / (Reversal of) Bad & Doubtful Debts	25,219	6,226	-	-
Provision for Retirement Gratuity	341,657	303,121	-	-
Provision for / (Reversal of) Impairment in Value of Investments	-	-	308	(56,076)
Provision for Obsolete Stocks	7,512	5,590	-	-
Other Provisions	8,375	-	-	-
Written back of Creditors	(1,208)	(4,221)	-	-
Gain / (Loss) on translation of Foreign Currency	(29,214)	(57,667)	-	-
Profit before Working Capital Changes	2,682,596	2,005,822	7,105	7,765
(Increase)/ Decrease in Inventories	(446,196)	(25,120)	-	-
(Increase) / Decrease in Trade and other Receivable	(465,565)	132,297	(10,475)	(2,226)
(Increase) / Decrease in Amounts due from Related Parties	(368,745)	(161,197)	(51,931)	20,912
Increase / (Decrease) in Trade and other Payables	(97,276)	2,121,970	61,308	24,444
Increase / (Decrease) in Amounts due to Related Parties	(80,693)	(41,488)	(26,104)	(121,486)
Cash generated from Operations	1,224,121	4,032,284	(20,097)	(70,591)
Gratuity Paid	(209,784)	(118,366)	-	-
Taxes Paid	(215,051)	(239,856)	(1,152)	(3,727)
Interest Paid	(2,195,120)	(1,672,155)	(60,770)	(50,221)
Rent Received	(25,874)	43,354	-	-
Net cash generated from/(used in) Operating Activities	(1,421,708)	2,045,261	(82,019)	(124,539)
Cash Flows from Investing Activities				
Acquisition of Property, Plant & Equipment	(1,111,547)	(1,071,411)	(87,418)	(1,265)
Proceeds from Disposal of Property, Plant & Equipment	146,601	48,469	-	-
Investments in Subsidiaries and Associates	(659,854)	-	(2,092)	(114)
(Acquisition) / Disposal of Other Short Term Investments	220,656	(131,934)	-	-
Proceeds from Disposal of Subsidiaries and Associates	-	-	31,037	62,369
(Acquisition) / Disposal of Other Long Term Investments	78,606	(7,208)	-	-
Loans Given to Related Parties	-	-	(80,000)	-
Settlement of Loans Due from Related Parties	-	-	53,000	-
Interest Received	178,677	196,724	43,618	31,050
Dividend Received	54,462	70,339	114,463	102,586
Net cash generated from/(used in) Investing Activities	(1,092,399)	(895,021)	72,608	194,626
Cash Flows from Financing Activities				
Receipts of Loans and Leases	5,860,986	2,210,608	100,000	-
Increase/(Decrease) in Loan to Related Parties	-	-	(17,000)	-
Proceeds from Rights Issue	326,166	-	-	-
Repayment of Loans and Leases	(3,379,790)	(3,007,218)	(25,000)	(13,192)
Capital / Lease Grants Received	(135)	-	-	-
Dividend Paid	(27,000)	(54,000)	(27,000)	(54,000)
Net cash generated from/(used in) Financing Activities	2,780,227	(850,610)	31,000	(67,192)
Net Increase in Cash & Cash Equivalents	266,120	299,630	21,589	2,895
Cash & Cash Equivalents at the beginning of the year	(1,649,887)	(1,649,887)	8,224	21,272
Cash & Cash Equivalents at the end of the period	(1,383,767)	(1,350,257)	29,813	24,167

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SEGMENTAL INFORMATION						
Information based on primary segments (Business Segments)						
Segment Revenue						
	Segment Revenue		Inter Segment		Total Revenue	
<i>For the Period ended 31th December</i>	2017	2016	2017	2016	2017	2016
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Trading of Consumer Products	19,888,478	19,785,119	(4,102,187)	(3,235,664)	15,786,291	16,549,455
Trading of Industrial Products	8,373,400	8,085,881	(79,140)	(14,272)	8,294,260	8,071,609
Leisure	988,656	945,883	(1,302)	(11,258)	987,354	934,625
Plantations	6,362,764	4,476,392	(4,355)	(104,992)	6,358,409	4,371,400
Others	686,368	725,619	(189,468)	(159,638)	496,900	565,981
	36,299,667	34,018,894	(4,376,452)	(3,525,824)	31,923,215	30,493,070
Profit / (Loss) Attributable to						
	Equity Holders		Non- Controlling interest		Total	
<i>For the Period ended 31th December</i>	2017	2016	2017	2016	2017	2016
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Trading of Consumer Products	(150,937)	99,159	(43,222)	167,629	(194,159)	266,788
Trading of Industrial Products	(289,175)	(292,113)	(128,566)	(89,294)	(417,741)	(381,408)
Leisure	(51,505)	(77,351)	(37,610)	(65,424)	(89,115)	(142,775)
Plantations	71,779	(350,972)	275,704	(121,847)	347,483	(472,819)
Others	(65,007)	34,297	7,105	21,231	(57,902)	55,529
	(484,844)	(586,980)	73,410	(87,705)	(411,434)	(674,684)

THE COLOMBO FORT LAND & BUILDING PLC

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SEGMENTAL INFORMATION										
Information Based on Primary Segments (Business Segments)										
Segment Results										
For the Period ended 31th December	Operating Profit		Finance Cost		Profit before Tax		Tax Expense		Profit/ (Loss) for the Year	
	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000	2017 Rs.'000	2016 Rs.'000
Trading of Consumer Products	559,182	709,246	(641,159)	(339,520)	(81,977)	369,726	(112,183)	(102,938)	(194,159)	266,788
Trading of Industrial Products	309,827	149,139	(689,025)	(471,769)	(379,199)	(322,630)	(38,542)	(58,778)	(417,741)	(381,408)
Leisure	40,280	48,310	(122,282)	(175,122)	(82,002)	(126,812)	(7,113)	(15,963)	(89,115)	(142,775)
Plantations	820,974	38,367	(473,490)	(486,264)	347,484	(447,897)	(1)	(24,922)	347,483	(472,819)
Others	36,595	100,860	(59,572)	(26,974)	(22,977)	73,886	(34,925)	(18,357)	(57,902)	55,529
	1,766,858	1,045,923	(1,985,528)	(1,499,649)	(218,670)	(453,726)	(192,764)	(220,958)	(411,434)	(674,684)

THE COLOMBO FORT LAND & BUILDING PLC

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NOTES TO THE FINANCIAL STATEMENTS

- 01) The accounting policies and methods of computation are consistent with those accounting policies and methods set out in the audited financial statements for the year ended 31st March 2017, and also in compliance with Sri Lanka Accounting Standard LKAS34 - Interim Financial Reporting.
- 02) The balances pertaining to the comparative period have been reclassified, where relevant, for better presentation and to be comparable with those of the current period.
- 03) The consolidated Financial Statements have been prepared on an accrual basis and under the historical cost convention unless stated otherwise.

04) Kotagala Plantations PLC - Rights Issue

The Company made a Rights Issue of 80,000,000 Ordinary Shares at a price of Rs.10/- per share to the holders of the issued Ordinary Shares of the Company as at the end of trading on 15th November 2017 in the proportion of Two (02) new Ordinary Shares for every One (1) Ordinary Share held by them in the Capital of the Company. The issue closed on 7th December 2017 and 10,150,000 shares were subscribed. The total consideration received was Rs. 101,500,000/-. The purpose of the issue was to raise funds to settle Outstanding Statutory Liabilities and to meet Working Capital requirements.

Subsequent to the Rights Issue of Shares the Stated Capital of the Company is Rs. 781,500,010/- .

Disclosure regarding status of utilization of Rights Issue proceeds as at 09.02.2018							
Objective Number	Objective as per circular	Amount allocated as per circular in LKR	Proposed date of utilization as per circular	Amount allocated From Proceeds in LKR (A)	% of total proceeds	Amount Utilized in LKR (B)	% of proceeds Utilized Against Allocation (B/A)
1	Settlement of Outstanding Statutory Liabilities	Rs.300 Mn	Immediately upon conclusion of the Rights Issue	Rs.101.5 Mn	100%	Rs.79.5 Mn EPF	78%
2	Working capital Purpose	Rs.500 Mn	N/A	N/A	N/A	N/A	N/A

A sum of Rs. 22Mn. has been retained to meet the outstanding statutory liabilities which will be paid in the month of February, 2018 in relation to EPF.

05) Agarapatana Plantations Limited – Rights Issue

The Company made a Rights Issue of 227,000,000 Ordinary Shares at a price of Rs.2 /- per Share to the holders of the existing Issued Ordinary Shares as at 22nd November 2017, in the proportion of Two (2) new Ordinary Shares for every One (1) existing Ordinary Share held in the Capital of the Company. The Issue closed on 15th January 2018. The total number of Shares subscribed for on the Rights Issue was 105,500,000 and the total consideration received was Rs.211,000,000/-. The purpose of the Rights Issue was to raise funds for Working Capital Requirements which was specifically for settling the Company's overdue Statutory Liabilities.

THE COLOMBO FORT LAND & BUILDING PLC

Company No. PQ 172

NOTES TO THE FINANCIAL STATEMENTS

06) Lankem Ceylon PLC

The Company made a Rights Issue of 12,000,000 Ordinary Shares at a price of Rs.40/ per Share to the holders of the Issued Ordinary Shares of the Company as at the end of trading on 12th December 2017, in the proportion of One (1) new Ordinary Share for every Two (2) existing Ordinary Shares held in the Capital of the Company. The Issue closed on 4th January 2018. The total number of Shares subscribed for on the Rights Issue was 9,853,200 and the total consideration received was Rs.394,128,000/- The purpose of the Rights Issue was to raise funds amounting to Rs.480Mn for settlement of Intercompany Borrowings to the extent of Rs.350 Mn and to utilize the balance sum of Rs.130 Mn for Working Capital requirements (i.e. part settlement of outstanding local creditors)

The proceeds were utilised as follows:

Disclosure regarding status of utilization of Rights Issue proceeds as at 14.02.2018							
Objective Number	Objective as per circular	Amount allocated as per circular in LKR	Proposed date of utilization as per circular	Amount allocated From Proceeds in LKR (A)	% of total proceeds	Amount Utilized in LKR (B)	% of proceeds Utilized Against Allocation (B/A)
1	Settlement of Intercompany borrowings	Rs.350 Mn	Immediately upon conclusion of the Rights Issue	Rs.350 Mn	89%	Rs.350 Mn	100%
2	Working capital requirements	Rs.130 Mn	Within 07 to 10 working days from the conclusion and finalization of the Rights Issue	Rs.44.128 Mn	11%	Rs.44.128 Mn	100%

Consequent to the Right Issue, the Company's Stated Capital is Rs.930,346,000/- represented by 33,853,200 ordinary shares. (Effective date 19th January 2018)

07) Lankem Developments PLC

The Company made a Rights Issue of 60,000,000 Ordinary Shares at a price of Rs.2.50 per share to the holders of the Issued Ordinary Shares of the Company as at the end of trading on 8th December 2017, in the proportion of One (1) new Ordinary Share for every One (1) existing Ordinary Share held in the Capital of the Company. The Issue closed on 26th December 2017. The Issue of 60,000,000 Shares were fully subscribed and the total consideration received was Rs. 150,000,000/-. The purpose of the Rights Issue was to invest the entirety of the Rs.150Mn in the Rights Issue of the Company's Subsidiary Agarapatana Plantations Ltd. (APL)

The proceeds were utilised as follows:

Disclosure regarding status of utilization of Rights Issue proceeds as at 14.02.2018							
Objective Number	Objective as per circular	Amount allocated as per circular in LKR	Proposed date of utilization as per circular	Amount allocated From Proceeds in LKR (A)	% of total proceeds	Amount Utilized in LKR (B)	% of proceeds Utilized Against Allocation (B/A)
1	To invest the entirety of the proceeds in the Rights Issue of the Company's Subsidiary, Agarapatana Plantations Ltd. (APL)	Rs.150Mn	Rs. 150Mn has been invested in the Rights Issue of APL.	Rs.150Mn	100%	Rs.150Mn	100%

Consequent to the Rights Issue, the Stated Capital of Lankem Developments PLC is Rs.1,558,006,000/- represented by 120,000,000 Ordinary Shares.(Effective date 9th January 2018)

THE COLOMBO FORT LAND & BUILDING PLC

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NOTES TO THE FINANCIAL STATEMENTS

08) York Arcade Holdings PLC - Repurchase of Shares

On 2nd August 2017 the Directors decided to Repurchase 4,500,000 of the Ordinary Shares out of the total Issued Ordinary Shares of 12,000,000 at a price of Rs. 17/- per Share on a pro rata basis of Three (03) Ordinary Shares for every existing Eight (08) Ordinary Shares held and having obtained Shareholder approval on 30th October 2017, the Company Repurchased 4,500,000 Ordinary Shares on 8th December 2017 at a payment consideration of Rs. 76,500,000/-.

The Stated Capital of the Company remains the same at Rs. 14,400,000/- consequent to the Repurchase of Shares whilst the number of Shares in Issue reduced to 7,500,000 Ordinary Shares. (In terms of the Companies Act a Share that is acquired by the Company shall be deemed cancelled immediately upon acquisition.)

09) No circumstances have arisen since the reporting period, that require adjustments to or disclosure in the financial statements except the following;

• The Colombo Fort Land & Building PLC

Lankem Ceylon PLC (LCPLC) previously a direct subsidiary of E.B. Creasy & Company PLC (EBC) has become a direct subsidiary of The Colombo Fort Land & Building PLC (CFLB) consequent to the Rights Issue of shares of Lankem Ceylon PLC which concluded in January 2018.

The shareholding percentages of CFLB and EBC in LCPLC subsequent to the aforementioned rights issue of shares of LCPLC stands at 45.49% and 32.42% respectively.

• York Arcade Holdings PLC - Consolidation of Shares

The Directors have resolved and Shareholder approval was obtained on 30th October 2017 for the Consolidation of Shares, following the completion of the Repurchase of Shares. Accordingly the Consolidation of the 7,500,000 Shares will be effected on the basis of every Ten (10) Shares being Consolidated into One (01) Ordinary Share thereby reducing the number of Shares of the Company to 750,000 Ordinary Shares, post Consolidation. The effective date for the Consolidation of Shares is as at the end of trading on 15th February 2018. The Consolidation will not result in a change to the Stated Capital of the Company.

• Kotagala Plantations PLC - Subdivision of Shares

An ordinary resolution pertaining to the Subdivision of the post Right Issue Shares of the Company was carried unanimously by the Shareholders present at the Extraordinary General Meeting held on 15th November 2017 and such Subdivision was to be effective from 9th January 2018.

Consequent to the Right Issue which was concluded on 22nd December 2017, the Stated Capital of the Company was Rs. 781,500,010/- represented by 50,150,000 Ordinary Shares and One Golden Share. Accordingly without actuating any increase to the Stated Capital of the Company, such subdivision was effective from 9th January 2018 by subdividing every Two (2) existing issued Ordinary shares into Three (03) Issued Ordinary Shares consequent to which the Stated Capital of the Company is represented by 75,225,000 issued and fully paid Ordinary Shares and One Golden Share.

• Lankem Ceylon PLC

On 07th February 2018, the company disposed of its 100% equity stake comprising of 820,000 Ordinary Shares and 160,000 Preference Shares of its wholly owned Subsidiary Ceylon Tapes (Pvt) Ltd to the Company's wholly owned subsidiary JF Packaging (Pvt) Ltd for a consideration of Rs.165,000,000/-.

10) There has been no significant change in the nature of the contingent liabilities which were disclosed in the audited financial statements for the year ended 31st March 2017 other than the following:

Company

The Corporate Guarantee's issued by the Company as at 31st March 2017 was Rs.63.31Mn. During the quarter ended 31st December 2017 Guarantees amounting to Rs.50Mn were cancelled and a new Guarantee for Rs.20Mn was issued. Thereby, Corporate Guarantee's issued by the Company as at 31st December 2017 was Rs.33.31Mn.

11) The figures in the Financial Statements are provisional and subject to audit.

THE COLOMBO FORT LAND & BUILDING PLC

Company No. PQ 172

NOTES TO THE FINANCIAL STATEMENTS

12) Share Information

As at 31st December

Stated Capital (Rs.'000')

2017

327,000

2016

327,000

Number of Ordinary Shares (Voting) Issued

180,000,000

180,000,000

13) Market Price Per Share for the Nine Months ended

31.12.2017

31.12.2016

Rs.

Rs.

- Highest

23.80

22.00

- Lowest

17.60

18.70

- Last Traded Price

19.00

20.00

(Volume Weighted Average)

14) Directors direct shareholdings as at 31st December 2017

Name of Director

No. of Shares

Mr. S. D. R. Arudpragasam

176,000

Mr. A. M. de S. Jayaratne

500

Ms. A. K. Gunawardhana

25,000

Mr. C. P. R. Perera

10,000

Mr. S. Rajaratnam

22,043

15) The percentage of shares held by the public as at 31st December 2017 was 31.87%.

16) The number of Public Shareholders as at 31st December 2017 were 2,213.

17) The twenty major Shareholders as at 31st December 2017 were as follows:

Name of Shareholders

No. of Shares

%

1. Colombo Investment Trust PLC

25,162,969

13.98

2. Property & Investment Holdings (Pvt) Limited

24,799,690

13.78

3. Colombo Fort Investments PLC

21,718,586

12.07

4. Capital Investments Limited

19,484,375

10.82

5. Corporate Holdings (Pvt) Limited A/c No.02

9,099,080

5.06

6. Financial Trust Limited

7,214,993

4.01

7. Sampath Bank PLC / Dr. T. Senthilverl

6,873,822

3.82

8. Seylan Bank PLC / Dr. T. Senthilverl

6,777,410

3.77

9. Sampath Bank PLC / Mr. A. Sithampalam

5,994,530

3.33

10. Seylan Bank PLC / Mr. A. Sithampalam

5,000,000

2.78

11. Union Investments (Pvt) Limited

4,089,680

2.27

12. Commercial Bank of Ceylon PLC / Property & Investment Holdings (Pvt) Limited

3,600,000

2.00

13. Commercial Bank of Ceylon PLC / Capital Investments Limited

3,600,000

2.00

14. Corporate Holdings (Pvt) Limited A/c No.01

1,953,265

1.09

15. Mr. R. Senathirajah (Deceased)

1,858,500

1.03

16. Ms. A. Radhakrishnan

1,800,000

1.00

17. Ms. M. P. Radhakrishnan

1,800,000

1.00

18. Mr. R. Maheswaran

1,800,000

1.00

19. Associated Electrical Corporation Limited

1,157,900

0.64

20. Mr. A. Sithampalam

1,011,000

0.56

Total

154,795,800

86.01

THE COLOMBO FORT LAND & BUILDING PLC

Company No. PQ 172

CORPORATE INFORMATION

Board of Directors

A. Rajaratnam (Chairman)

FCA

S.D.R. Arudpragasam (Deputy Chairman)

FCMA (U.K)

Anushman Rajaratnam (Group Managing Director)

B.Sc (Hons), CPA, MBA

A.M. de S. Jayaratne

B.Sc.(Econ.), FCA (Eng. and Wales), FCA (ICASL)

R. Seevaratnam

B.Sc.(Lond.), FCA (Eng. and Wales), FCA (ICASL)

Ms.A.K. Gunawardhana

LL.B (Hons.) (Colombo)

LL.M (Distinction) (Georgetown)

Attorney-at-Law

C.P.R. Perera

P. M. A. Sirimane

FCA, MBA

S. Rajaratnam

B.Sc., CA

Name of the Company

The Colombo Fort Land & Building PLC

Legal Form

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No.07 of 2007 on 3rd July, 2008.

Company No.

PQ 172

Registered Office

No. 8-5/2, Leyden Bastian Road,
York Arcade Building,
Colombo 1.
Tel: 011 - 2344485 - 9

Stock Exchange Listing

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

Bankers

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

Auditors

Messrs. KPMG
Chartered Accountants

Legal Advisers

Messrs. Julius & Creasy
Attorneys-at-Law

Tax Advisers

Messrs. KPMG
Chartered Accountants

Managers & Secretaries

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building,
Colombo 1.
Tel: 011 - 2344485 - 9